Oversold/Overbought

The standard settings for the Relative Strength Index is 14 periods. This means the insight of the indicator is based on the last 14 candles. The RSI is used to indicate when price is going to reverse in direction, however it is only valid with the confirmation of price action (Japanese candlesticks).

The RSI evaluates how many of those 14 candles were bullish or bearish, and generally measures the momentum of price movements. When the RSI gets close to 70 (Overbought) the last 14 candles were mostly bullish implying a shift in momentum is underway, and when the RSI value gets close to 30 (Oversold) the last 14 candles were mostly bearish also implying a shift in momentum is also underway. When the RSI value is close to 50 (middle line) the average gain/loss of the last 14 candles were equal and the momentum of price movements is at an equilibrium which suggest that the move may be decelerating. **The overbought and oversold areas in the oscillator identifies when the market has become overextended and vulnerable to a correction.**

Divergence Strategies

RSI or Relative Strength Index is a popular technical analysis tool that helps traders to identify overbought and oversold market conditions. The RSI is an oscillator that ranges from 0 to 100 and measures the speed and change of price movements. The RSI divergence is an important concept for traders to understand when using the RSI in their trading strategy. In this lesson, we will cover the two kinds of divergences and how to use them to make informed trading decisions.

I. Bearish Divergence: A bearish or negative divergence occurs when the price is at a new high, but the RSI fails to make its own high. This signals that the market is weakening, and the trend may be reversing. To identify a bearish divergence, follow these steps:

1. Look for an uptrend in price.
2. Check if the RSI is overbought.
3. Draw a trendline connecting the price peaks.
4. Look for bearish candlestick patterns.
5. Confirm if the RSI is contrary to that trend making lower highs.

II. Bullish Divergence: A bullish or positive divergence occurs when prices are at a new low, but the RSI fails to make a lower low. This implies that the selling pressure is letting up, and a shift in momentum is underway. To identify a bullish divergence, follow these steps:

1. Look for a downtrend in price.
2. Check if the RSI is oversold.
3. Draw a trendline connecting the valley lows.
4. Look for bullish candlestick patterns.
5. Confirm if the RSI is contrary to that trend making higher lows.

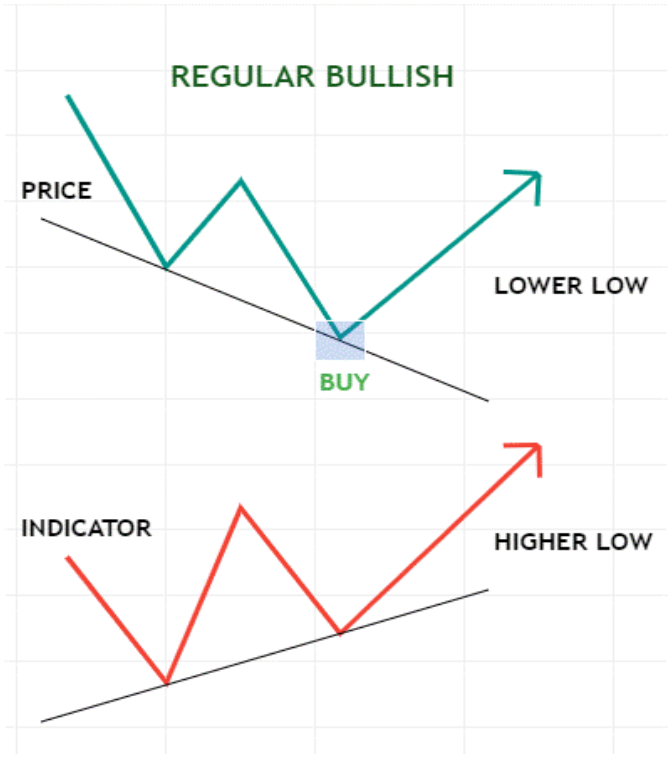
III. Importance of RSI Divergence: When RSI diverges from price, that suggests that the price will reverse direction or at least that the trend is slowing down before continuing in its trend. These divergence strategies have more validity and weight when used in conjunction with price action and when price is trending. It is important to note that RSI divergence should not be given much importance if you see it in a consolidating range-bound environment.

RSI divergence is a powerful tool for traders to identify potential trend reversals and momentum shifts. By understanding the different types of divergences and how to use them, traders can make informed decisions and improve their trading results. **It is important to remember that RSI divergence should not be used in isolation but in conjunction with other technical analysis tools for a comprehensive trading strategy.**

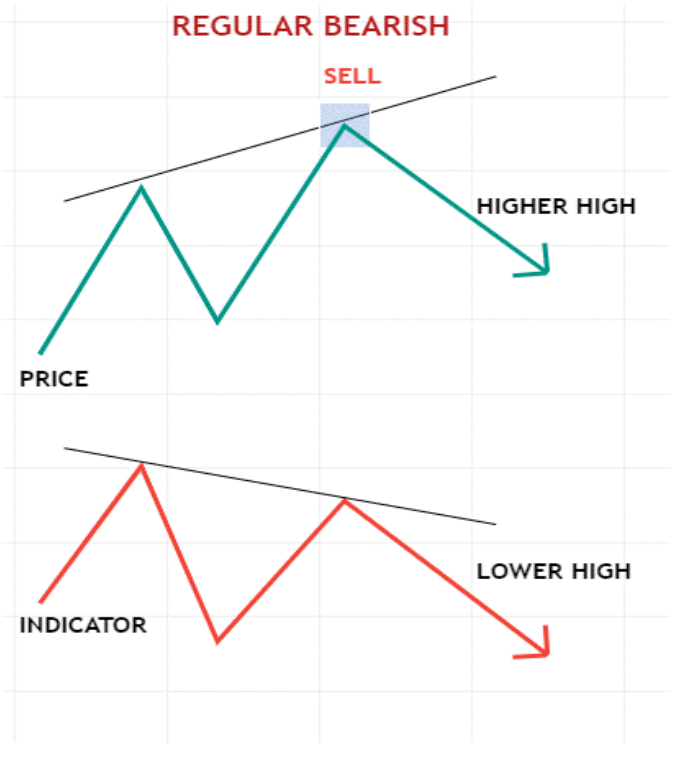
Regular Divergence & Hidden Divergence

There are 2 categories of divergences that identify a shift in momentum:

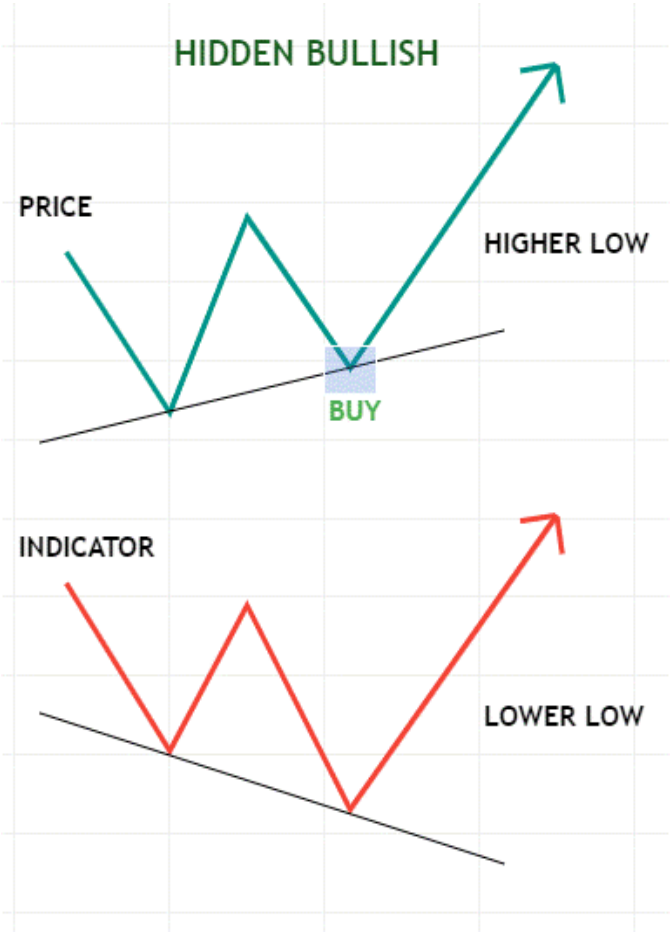
Regular divergences are reversal signals that indicates the trend is weakening, it provides an early warning that a trend reversal (or a retracement) is likely to follow soon. Regular divergences can be powerful and reliable entry triggers. **Regular divergences are reliable early signals of a local bottom or top, and most often precedes the beginning of a cloud breakout. Hidden divergences indicate a continuation of momentum and are often occur above or below the cloud.** They are most likely to occur in the middle of a trend and often indicate the end of a pullback within the existing trend. After a hidden divergence, a trend often continues. They can be powerful and reliable re-entry triggers, especially when some kind of confluence emerges. Hidden divergences are typically used to identify a window of opportunity after a retracement.



1. Regular divergences indicate a possible trend reversal.
2. Regular bullish divergences indicates underlying strength.
3. Regular bullish divergence indicates selling pressure is dissipating. **This is a warning of a possible trend shift from a downtrend to an uptrend.**



1. Regular divergences indicate a possible trend reversal.
2. Regular bearish divergences indicates underlying weakness.
3. Regular bearish divergence indicates buying pressure is dissipating. **This is a warning of a possible trend shift from an uptrend to a downtrend.**



1. Hidden divergences indicate a possible trend continuation.
2. Hidden bullish divergences indicates underlying strength.
3. Good opportunity for an entry or re-entry during the end of any retracements in an uptrend.
   This is a warning that trend is going to continue its rise



1. Hidden divergences indicate a possible trend continuation.
2. Hidden bearish divergence indicates underlying weakness.
3. Good opportunity for an entry or re-entry during the end of any rallies in a downtrend.
   This is a warning that trend is going to continue its fall.

5 Rules for Trading Divergences

1. Price has formed one of the following:

- Double Top
- Double Bottom
- Higher high than previous
- high Lower
- low than the previous low

2. Connect successive top and bottoms:
Draw a trend line to the left from a high or low to the previous high or low.

3. Price Action:
If price is trending bearish we look for regular bullish divergence as a indication of a reversal, and that consist of price forming lower lows which has a descending slope or a flat bottom. If price is trending bullish we look for regular bearish divergence as a indication of a reversal, and that consist of price forming higher highs which has a ascending slope or a flat top.

4. Overbought/Oversold:
Divergence only exists if the slope of price differ from the slope of the indicator. The slope can be either flat, ascending, and descending. If price is making lower lows than we must look for higher highs on the RSI connecting the lows of the indicator and price. If price is making higher highs than we must look for lower lows on the RSI connecting the peaks of the indicator and price.

5. Alignment:
Maintain a vertical alignment between price and the indicator. The highs or lows you've identified with price must align with the highs and lows with the indicator. Divergences on higher timeframes like everything else are more reliable than divergences on lower timeframes.